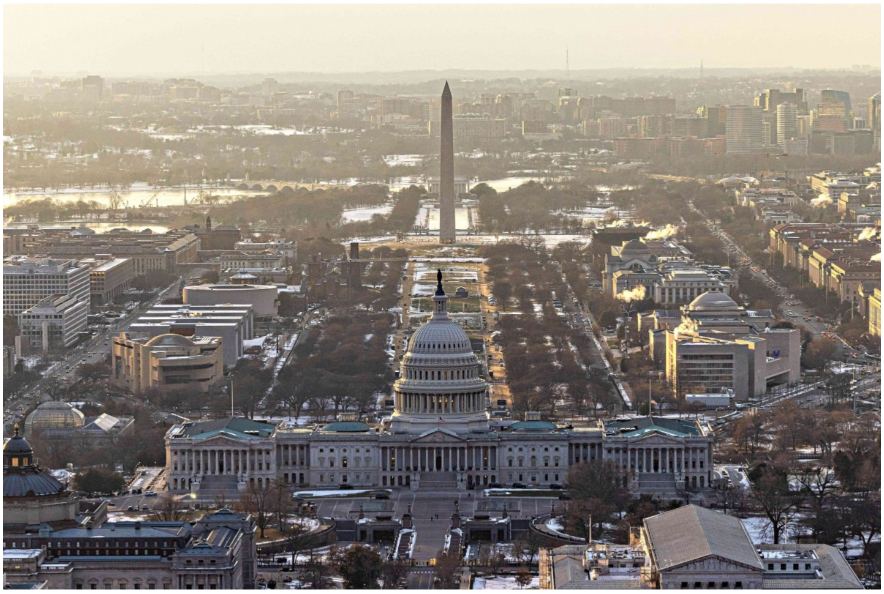
FX Daily: Little reason to leave the dollar just yet

The dollar remains in demand as investors await the next chapter in the Middle East. Elevated energy prices are continuing to help the dollar, as is a seemingly robust US economy. Beyond second-tier US data today, the focus will be on whether any ceasefire can be agreed and whether energy prices can avoid another large leg higher



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USD: Bracing for today's deadline

The dollar remains well-supported as investors await tonight's deadline from the White House. Failure of a ceasefire being agreed could prompt heavy US and Israeli bombing of Iranian civilian infrastructure and likely backlash from Iran against equivalent targets on its neighbours in the Gulf. Energy prices could face another major leg higher under this scenario. No one knows whether the deadline is another bout of maximalist pressure from the White House, but until there is news of a ceasefire, or perhaps a prolonged postponement of the current deadline, the dollar is likely to stay bid.

Also supporting the dollar has been the US domestic news, where Friday's release of March jobs data surprised on the upside. If US activity data continues to hold up, then the market will be more inclined to price in Federal Reserve hikes should energy prices take another leg higher. Fed policy is currently priced flat this year relative to the two to three hikes priced amongst major trading partners. Feeding into the Fed story this week will be Wednesday's release of the minutes to the 18 March FOMC meeting, plus Friday's update on March CPI. Consensus expects headline inflation to jump to 3.4% year-on-year from 2.4% prior. Should the market shift to pricing Fed hikes this year, we can only see that as a dollar positive.

As to whether trading partners are looking to reduce their concentration risk in US assets, there has been some focus on the $90bn drop in March in the amount of US Treasuries held in custody by the Fed for foreign official accounts. While we are sensitive to these developments (in this particular instance), we read the decline as emerging market central banks drawing down US Treasury holdings for FX intervention rather than as an exodus from the dollar per se.

Barring some big surprise drop in the weekly ADP jobs data today, expect the dollar to stay bid. We will also hear from several Fed speakers. New York Fed President John Williams appears on Bloomberg television at 2:30pm CET. He is usually dovish, but let's see whether his tone shifts.

Expect DXY to remain bid in a 100.00-100.50 range as traders brace for tonight's deadline.

Chris Turner

EUR: Lacklustre

EUR/USD remains trapped within the confines of a broad 1.1420 to 1.1640 range. Even though the market has softened up its pricing of an April 25bp European Central Bank hike (to just under 50% now), 75bp of tightening is still priced this year. We are still a little worried that if the ECB does not hike on 30 April, even if energy prices remain high, the euro will get hit.

For today, the ECB is holding an annual retreat hosted by the Banque de France. No ECB speakers are scheduled today, but any further pushback against an April rate hike could be a euro negative. On the data side, consensus expects a decent drop in the Sentix investor confidence reading for April.

We would expect EUR/USD to remain heavy near 1.1500/1510 in this very uncertain environment.

Chris Turner

CEE: Inflation numbers released as central banks respond to geopolitical turmoil

This week sees a busy calendar in the CEE region, but the focus will still be on global headlines and developments in the US-Iran conflict.

Today, the Czech Republic will release March inflation, which we expect will fully reflect the increase in fuel prices. Our economists expect a spike from 1.4% to 2.1% YoY, just slightly above market expectations. However, last week the government introduced a combination of fixed margins for fuel prices and a partial reduction in excise duty, which will be visible in April. In Romania, the central bank is expected to leave rates unchanged at 6.50%. A rate change was not on the National Bank of Romania's table even before the start of the US-Iran conflict, and recent developments will likely have pushed inflation well above 10% in our forecast; this will only prolong the wait for the first rate cut.

On Wednesday, inflation will be released in Hungary, where we expect an increase from 1.4% to 2.2% YoY in line with expectations. Retail prices and industrial production data will also be released. On Wednesday, the National Bank of Poland is expected to leave rates unchanged at 3.75%, and attention will be on Thursday's press conference and the governor's forward guidance.

On the political side, on Sunday, Hungary will hold a general election. Here, polls favour the opposition, but we expect a tight race. Hungarian assets are the only ones in CEE to have visibly reacted to the local story and have somehow deflected the global influence. We've seen the forint outperforming the rest of the region in recent days, which is likely to continue this week as well.

The rest of the region remains captive to the global story, where even some risk-on switching hasn't really translated into EUR/CZK and EUR/PLN, which remain largely unchanged. The National Bank of Poland is likely to push against the need for rate hikes this week, with less than two priced in the next 12 months. This could be slightly negative for FX, which has stabilised slightly below 4.270.

Frantisek Taborsky

NZD: RBNZ meets tomorrow

The Reserve Bank of New Zealand meets to set rates tomorrow. Very little tightening is priced in the first half of the year, with 65bp of hikes priced by the end of the year. RBNZ Governor Anna Breman has proved quite dovish in her communication so far, and in the absence of any new RBNZ forecasts tomorrow, consensus widely expects unchanged rates at 2.25% and probably little steer on future tightening.

Lacking the industrial commodities offered by Australia, the New Zealand dollar has substantially underperformed the Australian dollar this year. Barring a surprise hawkish shift at tomorrow's RBNZ press conference, this trend may well continue.

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